

# LAW EDGE

---

## FILE RISK MANAGEMENT

### Current File Position Across Live Matters

#### Immediate Testing Required

**Some of your current files will not withstand scrutiny.**

This is determined by what is recorded on the file, not what was done.

#### **This position exists across:**

Litigation

Corporate and commercial

Property

Family

Private client

Employment

You do not know which of your current files are defensible.

Several of your existing files are already in this position.

#### **These files are assessed under:**

Negligence claims

Insurer audit

Regulatory review

These challenges arise after the event, when the file is the only evidence available.

**At that point, the position cannot be corrected.**

**The outcome is already determined.**

**This is already resulting in lost revenue across your current files.**

If this is not addressed, you will continue progressing files that cannot be defended.

This position already exists across your current files.

A review of your current files will identify immediate failure.

**You do not know where this sits across your current files.**

## Introduction

A file must show the position clearly. In practice, it does not.

### Each file must clearly show:

- What issue was identified
- What advice was given
- What risks were considered
- How the decision was reached

Across active matters, this is not clearly recorded.

### Typical file records show:

- Outcomes without supporting reasoning
- Decisions without recorded alternatives
- Advice without evidence
- Progression without visible supervision

**When the file is reviewed, the position cannot be followed from start to finish.**

That is where the file fails.

A proportion of your current files already fall into this position. They are progressing within your firm now. You do not know which of these files will fail.

## PARTNER EXPOSURE

### Immediate Risk Position

**You are accountable when your files are tested under scrutiny.  
The outcome sits with you. No one else.**

When tested, the file is the only evidence considered.

#### **If the file does not clearly record:**

- The advice
- The reasoning
- The decision

**The position is not defensible.**

**This is already reducing recoverable time, lowering fees and driving settlement below value. This cannot be identified through internal review.**

This is already occurring across matters under your supervision. Revenue loss is already occurring.

**You are responsible for the outcome on those files, whether the position is visible or not.**

**You do not know where this sits across your current files.**

This is not a future risk. It is the current position across live matters under your control.

## FILE REVIEW

### Current Position

**Your current file position cannot be established through internal review.**

**It is only established when your files are tested against a defined defensibility position.**

**This is the only way to establish that position.**

A structured file review is applied across a defined sample of live matters.

#### **Files are tested at partner level to determine:**

- Which files are defensible
- Where positions fail under scrutiny
- Where financial exposure and revenue loss already exist

This reflects how your files will be assessed when challenged by an insurer, claimant or regulator.

#### **The result is a clear view of:**

- Which files can be supported
- Which require correction
- Where loss is already occurring

Typical scope: £3,000 - £10,000 depending on file volume.

**This establishes the baseline for ongoing file risk control.**

This must now be tested across your current files. There is no other way to establish your position.

Without this, your current exposure remains unknown.